

Procurement Authority and Purchase Order Policy

CONTROLLED DOCUMENT - SYNTHETIC ENTERPRISE CONTENT FOR RAG TESTING

Document ID	PROC-002	Version	1.0
Owner / Department	Strategic Sourcing	Effective date	2026-01-05
Access groups	All-Employees;Procurement;Finance	Classification	Internal

Purpose and scope

This procurement document establishes a consistent operating standard for Northstar Chain Systems. It applies to personnel in the listed access groups and to approved contractors when they perform work on behalf of the company. Managers are accountable for local adoption; the document owner maintains the standard and annual review cycle.

Purchase Orders

Standard. A purchase order is required for commitments of 5,000 USD or more. The control exists to make decisions traceable, protect customers and employees, and give teams a predictable operating baseline.

Procedure. Staff should follow the approved workflow, record required approvals in the system of record, and raise exceptions before acting. The accountable owner may provide implementation guidance that is consistent with this standard.

Approval Limits

Standard. The department vice president and Procurement approve purchases in that range. The control exists to make decisions traceable, protect customers and employees, and give teams a predictable operating baseline.

Procedure. Staff should follow the approved workflow, record required approvals in the system of record, and raise exceptions before acting. The accountable owner may provide implementation guidance that is consistent with this standard.

Prohibited Practices

Standard. No. Splitting purchases to avoid approval limits is prohibited. The control exists to make decisions traceable, protect customers and employees, and give teams a predictable operating baseline.

Procedure. Staff should follow the approved workflow, record required approvals in the system of record, and raise exceptions before acting. The accountable owner may provide implementation guidance that is consistent with this standard.

Roles, exceptions, and evidence

The Strategic Sourcing team is the policy owner. Questions and requested exceptions must be submitted through the service portal or designated owner channel. Exceptions require documented business rationale, risk assessment where relevant, and an expiry date. Evidence of compliance must be retained in the appropriate company system and provided during an authorized review.

Review and enforcement

This document is reviewed at least annually or sooner when legal, regulatory, operational, or material-risk changes occur. Failure to follow this standard may result in removal of access, corrective action, or escalation under the Company Code of Conduct.